

HOME INSURANCE GLOSSARY OF TERMS

HomeShield Insurance Group | Reference Document | 2025

Accidental Damage

Sudden and unexpected damage that is the result of an unintentional action, such as spilling wine on a carpet or breaking a window. Not the same as wear and tear, mechanical breakdown, or damage caused by neglect.

Buildings Sum Insured

The amount your buildings are insured for, which should represent the full cost to rebuild the property from scratch (rebuild cost), including site clearance, professional fees, and VAT. This is NOT the same as the market value of the property.

Contents Sum Insured

The total replacement value of all your household contents at current new prices. Should be calculated on a new-for-old basis.

Escape of Water

Damage caused by water leaking or escaping from internal pipes, tanks, plumbing systems, or fixed appliances. One of the most frequent home insurance claims in the UK.

Excess

The first portion of any claim that you pay yourself before the insurer pays the remainder. Different types of excess may apply: standard excess, voluntary excess (chosen by you for a premium reduction), and compulsory excess (e.g., subsidence excess of £1,000).

Flood

The overflow of a body of water (river, lake, sea, reservoir) or the accumulation of rainwater on land that is normally dry, causing damage to the insured property. Groundwater seepage and drain surcharge are not classified as flood.

Flood Re

A UK government-backed reinsurance scheme that allows insurers to offer affordable flood cover to homes in high-risk flood zones. Properties built before 1 January 2009 in eligible flood risk areas can be placed in the Flood Re scheme.

Heave

The upward or sideways movement of the ground beneath the buildings, typically caused by the expansion of clay soils when moisture content increases (e.g., following the removal of a large tree).

High-Value Items Limit

The maximum total amount HomeShield will pay for all specially listed (scheduled) high-value items in a single claim. Items must be individually listed on the policy.

Indemnity Basis

A claims settlement basis where the insurer pays the current market value of the item at the time of loss, taking depreciation into account. The opposite of new-for-old. HomeShield uses new-for-old for contents under 8 years old.

Landlord's Contents

Furniture, furnishings, and appliances provided by the landlord to tenants as part of a furnished tenancy. Covered under the Landlord Plus plan up to the contents sum insured.

Legal Expenses Cover

An optional (or included) add-on that pays for legal fees to pursue or defend disputes relating to your home, such as property damage disputes, contractor disputes, and (for Landlord Plus) tenancy disputes.

Loss Adjuster

An independent professional appointed by the insurer to investigate, assess, and report on a claim. Loss adjusters are typically appointed for large, complex, or contested claims.

Malicious Damage

Deliberate damage caused by a person other than the policyholder or a household member. Damage caused by tenants is covered under Landlord Plus only.

New-for-Old

A claims settlement basis where the insurer replaces damaged or stolen items with equivalent new items, without applying depreciation. HomeShield applies new-for-old to contents items less than 8 years old.

Outbuilding

A detached structure within the boundary of the insured property that is not the main dwelling, such as a garage, garden shed, summer house, or workshop. Covered for buildings damage up to £15,000; contents in outbuildings covered up to £2,500.

Peril

A specific risk or cause of loss that is covered by an insurance policy (e.g., fire, flood, theft, storm). Standard home insurance covers named perils only.

Property Owners' Liability

Liability cover for bodily injury or property damage suffered by third parties (including tenants) as a result of a defect in the insured property. Included in all HomeShield plans.

Rebuild Cost

The cost to completely rebuild your property from scratch if it were totally destroyed, including demolition, site clearance, materials, labour, and professional fees. This is the correct basis for your buildings sum insured. It is NOT the market value of your property.

Scheduled Item

A high-value item that is individually listed on the policy with a description and agreed value, so that it is covered for its full replacement value rather than just the single article limit.

Single Article Limit

The maximum amount HomeShield will pay for any one item or matched set, unless the item is scheduled (listed) on the policy. Standard: £1,500; Comprehensive: £3,000.

Storm

An event characterised by winds exceeding Beaufort Scale Force 10 (approximately 55 mph), or exceptional and sustained rainfall, hail, or snow that causes physical damage to the insured property. Normal rainfall, even if heavy, does not constitute a storm.

Subsidence

The downward movement of the ground beneath the foundations of the insured buildings, causing structural damage. Subject to a £1,000 compulsory excess. Excluded for properties under 10 years old (normal settlement) and for coastal/river erosion.

Trace and Access

The cost of locating and gaining access to the source of a water or oil leak, including cutting through walls, floors, or ceilings and making good afterwards. Covered up to £5,000 under all HomeShield plans.

Underinsurance

The situation where the sum insured is less than the true value of the insured property or contents. If underinsurance is identified at the time of a claim, HomeShield may reduce the claim payment proportionately (averaging).

Voluntary Excess

An amount you agree to pay on top of the compulsory excess in exchange for a reduction in your premium. If you choose a voluntary excess of £250 and the compulsory excess is £150, you will pay the first £400 of any claim.

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